

Secondary Transaction Pricing Calculator

- Built for LPs and secondary buyers navigating stressed markets where liquidity is scarce and discounts are wide.
- Discount widens automatically as rates rise — modeling the real link between SOFR, required returns, and NAV haircuts.

WHY THIS TOOL EXISTS

The LP Liquidity Problem

GPs are holding assets longer to avoid distressed sales. LPs needing cash face wide NAV discounts — but few tools quantify exactly how wide, or why.

Rate-Driven Discounts

As SOFR rises, secondary buyers demand higher returns. The same fund stake is worth less simply because financing costs more. This tool makes that math explicit.

Buyer vs. Seller Tension

A seller thinks they should get 90¢ on the dollar; a disciplined buyer models 78¢. This tool shows both sides the same math, from their own perspective.

KEY FEATURES

Dual Perspective Entry

Opening screen asks: are you the buyer or seller? Each side gets a dedicated tool with inputs and outputs designed for their specific decision.

Rate-Sensitive Discount Engine

$\text{Discount} = 1 - \text{PV}(\text{future cashflows}) / \text{NAV}$. As SOFR rises, the required return rises and PV falls — automatically widening the discount without manual adjustment.

Fund Quality Metrics

DPI, RVPI, and TVPI all feed the model. High DPI (capital already returned) tightens the discount; low DPI with high unfunded widens it.

Sector Spreads

Software (+200bps), Healthcare (+125bps), Energy (+175bps) — each sector carries a different illiquidity risk premium baked into the required return.

Seller's Floor (Optional)

Sellers can input the worst buyer return they'd accept (e.g. 13.8%). The tool shows the implied discount and price at that return vs. the market price — the seller's negotiating floor.

OUTPUTS AT A GLANCE

Seller: Implied Discount & Price

Headline cards show discount %, implied bid price, and cents-per-dollar of NAV. Discount driver breakdown explains each component of the haircut.

Discount vs. Rate Chart

Line chart shows how the discount grows as SOFR rises — the current rate is marked with a reference line so sellers see exactly where they stand.

Buyer: Fair Bid & IRR Grid

Binary search finds the maximum price the buyer can pay to hit their target IRR. Bar chart shows IRR at every bid level; grid maps IRR across bid price × fund life.

Light / Dark Mode

Full theme toggle — same tool, two visual environments.

CALM MARKET

SOFR 4%, healthcare sector, high DPI 0.7x. Tight discount — competitive secondary market.

BLUE OWL STRESS

SOFR 5.3%, software, DPI 0.25x, high unfunded. Wide discount — stressed LP, few bidders.

ENERGY DISLOCATION

SOFR 5.3%, energy sector spread. Moderate-to-wide discount in uncertain commodity environment.

DEFAULT SCENARIO

2022-vintage fund, 2028 wind-down, \$150M NAV, software sector. Mirrors current market conditions.

BUILT WITH

Next.js 14 · TypeScript · Tailwind CSS
Recharts · Newton-Raphson IRR Solver

LIVE APP

pe-analytics.vercel.app

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